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This is food price inflation and a mild, phased and nuanced response is required in managing interest rates.

With banks passing on lower interest rate benefits we see revival in sales and retail credit. This will boost demand. ”

a fuel, food inflation. So the RBI should refrain from committing the same mistake that it did in 2008. There is a fear that higher inflation will result in pressure on the RBI to raise interest rates. This will make the investment climate even worse. That is what is called the choking of growth by politics.

Aiyar: It is a very peculiar and unique-to-India situation. You don't have credit growth and yet you will have a higher interest rate.

Rajiv Kumar: What politics could also do is not let the fiscal deficit come down. Fiscal expenditure which primarily funds subsidising consumption and not infrastructure is simply a transfer of income. This prevents interest rates from coming down and hurts investment sentiments. Unless you bring down the fiscal deficit, inflationary pressure will continue. It won't be stagflation but we will have to be content with relatively low growth rates of 6 or 7 per cent which may be great compared to global growth but much below potential. Our potential growth rate is 8.5 to 9 per cent and what we need to tackle poverty, create jobs and leverage the demographic dividend is 10-plus per cent growth.

Bibek Debroy: I want to mention four myths. The first myth is the impression floating around that hey, we went into a downturn and we were very clever, we introduced a fiscal stimulus which were counter cyclical and as a result of that India weathered the worst of the crisis. The bulk of the public expenditure had happened before September 2008 and the widening of the fiscal deficit was because of what had happened before it.

Aiyar: In fact, the Prime Minister's Economic Advisory Council headed by Dr C. Rangarajan has observed that the bulk of the fiscal deficit has a lot to do with the structural

issues of subsidy management and not so much as the stimulus. The stimulus is actually a very small part of the fiscal deficit.

Kumar: Budget 2008-09 had 2.8 per cent fiscal deficit. Budget 2009-10, which is a pre-election budget, raised it to 5.8 per cent. Post-stimulus, post-Lehman, it goes up to 6.8 per cent. So the stimulus is around 1 per cent. I keep saying all the time that we are so clever that we anticipated the crisis.

Debroy: The second myth is that whatever is the inflation that is happening is something that can be addressed by monetary policy. If you are looking for a term it is not stagflation, you should coin an expression like 'ag-flation' because it is primarily a food product-driven inflation and part imported inflation. Because of what happened in 2007 and 2008, because inflation will become an issue, because food price inflation is high, because even WPI-measured inflation will become higher, one is almost certain that what happened in 2007 and 2008 is going to happen, although it should not happen, namely the RBI will harden rates. Myth No. 3 is that this Government was going to do wonderful things on reforms. It isn't. So instead of 'V' shaped or 'W' shaped, we should coin an expression for India that says 'O' shaped recovery, meaning that we go round and round in circles. Myth No. 4 is that we are now talking about an exit policy on the stimulus because the economy has weathered things well. Now that is rubbish. If you look at what is being called an exit policy, you will find that part of it is coming from the finance minister's desire to introduce tax reform, part of a direct tax and the direct tax code is floating around, and also the indirect tax, the GST, which means the

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